22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year. The average annual tax rate expected as of June 30, 2021 to be effective for the year ended December 31, 2021 is 25.9%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and six-month periods ended June 30, 2021 and 2020 are calculated as follows:

(1) Ordinary shares

	June 30, 2021		June 30, 2020	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**6 Months**	**3 Months**	**6 Months**
Profit for the period attributable to owners of the parent company	9,450,676	16,543,462	5,488,964	10,378,563
Profit for the period available for ordinary shares	8,305,789	14,539,332	4,824,012	9,121,269
Weighted-average number of ordinary shares outstanding	5,969,783	5,969,783	5,969,783	5,969,783
Basic earnings per ordinary share *(in Korean won)*	1,391	2,435	808	1,528

(2) Preference shares

	June 30, 2021		June 30, 2020	
(In millions of Korean won, thousands of number of shares)	**3 Months**	**6 Months**	**3 Months**	**6 Months**
Profit for the period attributable to owners of the parent company	9,450,676	16,543,462	5,488,964	10,378,563
Profit for the period available for preference shares	1,144,887	2,004,130	664,952	1,257,294
Weighted-average number of preference shares outstanding	822,887	822,887	822,887	822,887
Basic earnings per preference share *(in Korean won)*	1,391	2,435	808	1,528

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and six-month periods ended June 30, 2021 and 2020.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the six-month periods ended June 30, 2021 and 2020 are as follows:

- Adjustments

(In millions of Korean won)	**2021**	**2020**
Adjustments:		
Income tax expense	5,856,904	4,086,540
Financial income	(1,341,113)	(2,121,411)
Financial expenses	1,040,969	1,452,492
Post-employment benefits	676,056	614,901
Depreciation	14,360,825	13,199,555
Amortization	1,471,855	1,624,379
Bad debt expenses (reversal)	2,568	44,885
Dividend income	(77,069)	(81,638)
Share of profit of associates and joint ventures	(335,006)	(146,866)
Gain on disposal of property, plant and equipment	(206,021)	(61,779)
Loss on disposal of property, plant and equipment	50,469	49,037
Loss on valuation of inventories	591,381	1,100,034
Others	(159,302)	(8,995)
Total	21,932,516	19,751,134

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	**2021**	**2020**
Changes in assets and liabilities:		
Decrease (increase) in trade receivables	(3,806,471)	2,303,513
Decrease (increase) in other receivables	(55,161)	543,346
Decrease (increase) in prepaid expenses	(202,122)	(101,621)
Decrease (increase) in inventories	(1,594,374)	(3,879,017)
Increase (decrease) in trade payables	299,667	417,181
Increase (decrease) in other payables	15,150	(324,107)
Increase (decrease) in advances received	(113,667)	(127,585)
Increase (decrease) in withholdings	(90,346)	(72,804)
Increase (decrease) in accrued expenses	(1,643,233)	(1,518,453)
Increase (decrease) in provisions	231,002	887,549
Payment of post-employment benefits	(232,658)	(339,398)
Other	(714,900)	(250,623)
Total	(7,907,113)	(2,462,019)

For the six-month periods ended June 30, 2021 and 2020, cash outflows from principal repayment (financial activities) amount to ₩ 390,466 million and ₩ 418,931 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 51,611 million and ₩ 56,477 million, respectively.